

vesting is all about taking advantage of probabilities. If in any given year in the future there is a 50% chance that the stock market will decline, then the odds of getting two bear-market years in a row is 25%, 12.5% for three years, and so on. See Table 3.3 for the number out to seven years.

TABLE 3.3 Investing Is All About Probabilities

The Event (Duration of Bear Market)	Probability
	Hypothetical example
1 year	$(1/2)^1 = 50\%$
2 years	$(1/2)^2 = 25\%$
3 years	$(1/2)^3 = 12.5\%$
4 years	$(1/2)^4 = 6.25\%$
7 years	$(1/2)^7 = 0.78\%$

Source: Moshe Milevsky and the IFID Centre, 2008.

In discussing the concept of investment diversification, I have up to this point excluded potentially the greatest asset on your balance sheet—your human capital. While conceptually this asset is different from your tangible financial assets, it should actually be considered and diversified in tandem with your financial capital. This might sound like an abstract concept, but I will try to convince you that you can and should implement it as part of your risk management strategy over your life cycle. This is where the question, “Are you a stock or a bond?” comes in. By this I mean does your human capital exhibit the characteristics of a risky equity investment? For example, do you work in an investment banking firm where your compensation is somehow linked with the performance of an index such as the SP500? Or is your income more steady and predictable like a long-term government bond? For example, as a tenured university professor, I can say with confidence that I am a bond.

After you have analyzed the riskiness of your human capital, you should be using financial and investment capital to hedge it from potential losses; the same diversification principles that I discussed earlier are applicable.